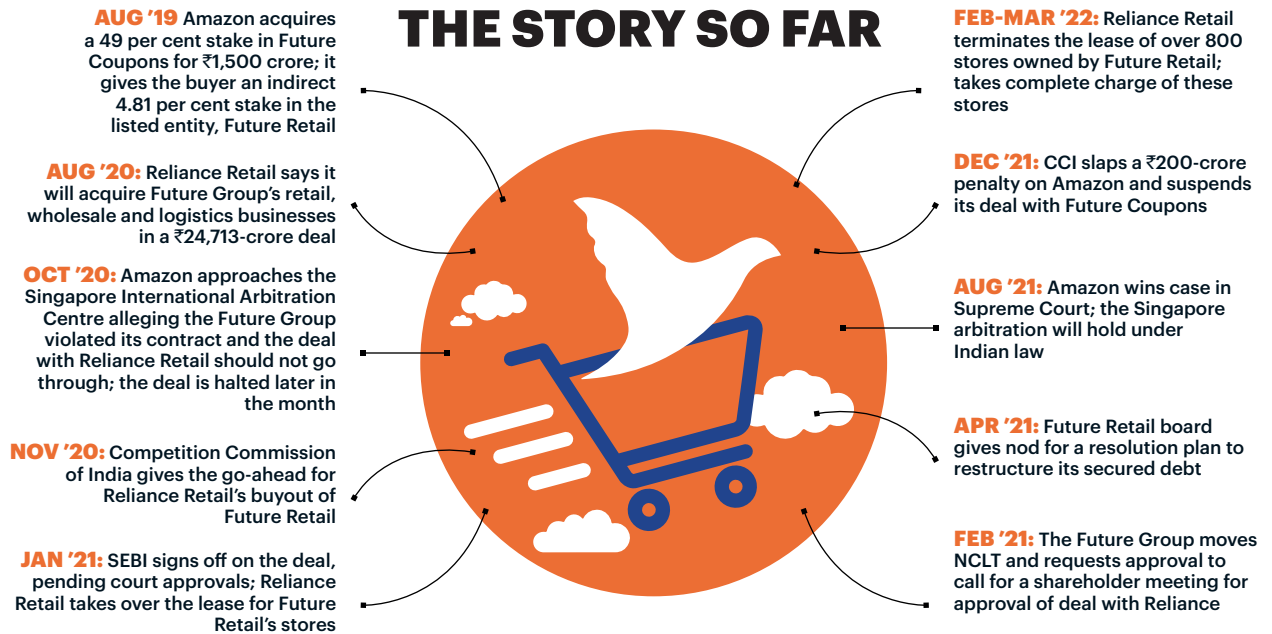


THE STORY SO FAR



Source: Media reports, industry

REPORT CARD

The messy financials of Future Retail

	FY17	FY18	FY19	FY20	FY21	9MFY22
Total income	17,098.89	18,493.20	20,185.37	20,201.92	6,437.40	5,547.40
Operating profit	674.19	918.69	1,136.37	2,141.24	-364.19	
Net profit	368.28	11.31	732.81	33.84	-3,180.03	-3,345.12

All figures in ₹ crore Source: ACE Equity, company announcements

agencies". A petition filed in the Supreme Court by Amazon said the "transaction" was a stratagem wrongfully adopted by FRL "with the connivance and collusion of the MDA (Mukesh Dhirubhai Ambani) Group to transfer the retail assets".

Leaving nothing to chance

The most important thing for Reliance to get right was the legal bit. The head of a real estate consultancy simplifies the issue. "Reliance is that party that occupies the space today after inking a new deal with the owner. That means it can do anything in terms of redesigning the store. The question is: what is left of Future Retail once the stores are out of its books?" he explains. To him, the game is 80 per cent about real estate or just the attractive locations that Big Bazaar and the other FRL stores sit on, while the other 20 per cent is the brand name. "Reliance has obviously realised that it would have been impossible to create this kind of a network from scratch," he says. That also means

it may not be incumbent on Reliance to settle the loan with the banks. "From Reliance's point of view, it is a straightforward deal where they only want the real estate. If they wanted the brand, then it would have been necessary to buy the company."

It is an open secret that Future Retail's inability to settle outstanding payments with companies led to no fresh stock coming. As a result, there is very little inventory to boast of. The marketing head of a well-known FMCG major says that the money owed by Future Retail will be in excess of ₹1,500 crore. "It has steadily got worse and thanks to Reliance coming in a year ago, at least we managed to get some business. It would have been zero had the original promoters continued to be in charge," he says. The buzz on the street is that Big Bazaar, by last June, had just a quarter of its usual inventory level. To add insult to injury, Reliance has been issuing offer letters to FRL's staff. With the store, its furniture and fittings, staff and inventory in their possession, Reliance appears to have managed to get